

Asian Paints

Indian Multi-National Paint and Coating Manufacturing Company

Investment Rating : Excellent

Company Overview

Website	https://www.asianpaints.com/
Sector	nan
Market Cap	2,126,725.18 Cr
PE Ratio	73.37
PB Ratio	3.9
Dividend Yield	2.42 %

Financial Quality

ROE	31.45
ROCE	41.75
CFO Quality	Moderate
FCF CAGR	7.17%
Capital Pattern	Growth Focused

Capital Allocation

Capital Score	100.0
Reinvestment	Balanced
Debt Trend	Stable Debt
Leverage	Low

Business Overview

Asian Paints Ltd is an Indian multinational paint company, headquartered in Mumbai. The company is engaged in the business of manufacturing, selling and distribution of paints, coatings, products related to home decor, bath fittings and providing related services.

Strengths

Consistently high return on equity above 20% demonstrates exceptional capital efficiency.
Strong free cash flow generation over 5 years signals healthy business fundamentals.
Net profit compounding above 20% over 5 years creates significant shareholder value.
Very high interest coverage ratio reflects negligible financial stress from debt servicing.
Consistent dividend yield above 2% backed by positive free cash flow.

Risks

No significant financial weakness identified, however future performance should continue to be monitored.